

NVIDIA Corporation

NVDA NASDAQ

Buy	\$229.72 ▼ 0.33%	12M Price Target \$275.00	52-Week Range \$164.27 – \$243.37	Market Cap \$5.55T
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NVDA: Cooling After Hot Run, Insiders Trimming

WHAT HAPPENED

- Stock drifted down ~4% over the past three sessions from \$239 to \$229 — not a crash, just profit-taking after a hot run (we're still at 83% of the 52-week range). Volume dropped off hard today (55M vs 100M+ earlier this week), which tells me sellers are getting tired rather than panicking.
- The real tell: options flow is leaning bearish with heavy put buying at the \$230 strike (nearly 200K contracts, 5x the normal open interest) — meaning big traders are paying up for downside protection right at today's price. That's hedging, not necessarily panic, but worth noting.

WHY IT MATTERS

Here's what I'm actually thinking: insider selling has been chunky — a director dumped \$298M worth in mid-September and the General Counsel sold ~\$7M in a cluster. That's not a "the sky is falling" signal (execs sell for lots of reasons — taxes, diversification, boats), but combined with the bearish options flow and a pullback from highs, it suggests the smart money thinks we're near-term stretched. The bigger picture though: NVDA is now a \$5.55 TRILLION company — bigger than the GDP of Japan — which means every incremental dollar of upside requires MORE buying power than ever before to move the needle. Translation: expect choppiier action, not a straight-line rip higher.

POLICY & POLITICAL WATCH

The dominant policy story is still US-China chip export controls — the Commerce Department has been tightening the screws on what NVDA can sell to China, and any further restrictions directly cap a market that used to be ~20% of data center revenue. On the tailwind side, federal AI infrastructure spending (including the Stargate-style public-private partnerships and DOE/DOD AI buildouts) is a direct funnel into NVDA's order book — if the next appropriations cycle expands AI compute funding, that's bullish. Also watch antitrust: the FTC has been circling NVDA's CUDA software moat, and any forced interoperability requirement would be a real headwind to margins.

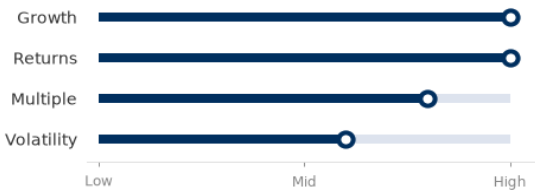
IS IT EXPENSIVE?

At ~46x forward earnings, investors are paying \$46 for every \$1 of profit NVDA is expected to make next year — rich compared to the S&P at ~22x, but cheap compared to where NVDA traded a year ago (60x+). The justification is that earnings are still growing 40-50% a year, so the "PEG ratio" (price-to-earnings divided by growth) is actually under 1 — which value investors consider reasonable. Bottom line: it's not a bargain, but it's not insane either — you're paying up for the single most dominant franchise in the most important tech cycle of our lifetime.

Key Data

Price (USD)	\$229.72
12M Price Target	\$275.00
Upside / (Downside)	+19.7%
Market Cap	\$5.55T
FY2026E Revenue	\$215M
FY2027E Revenue	\$285M
FY2026E EPS	\$4.95
FY2027E EPS	\$6.80
Fwd P/E	46.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$250.00	\$235.00	\$215.00
6 Months	\$285.00	\$255.00	\$200.00
1 Year	\$320.00	\$275.00	\$190.00
2 Years	\$400.00	\$310.00	\$170.00
5 Years	\$600.00	\$420.00	\$150.00
10 Years	\$900.00	\$550.00	\$120.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate (+1.6%), Healthcare (+1.6%), and Utilities (+0.8%/+3.9% 5D) — classic "defensive rotation" signal. Utilities especially are interesting because the AI power-demand story is real (data centers need electricity), so utility strength actually confirms the AI buildout thesis even as money rotates away from the semis themselves.

COOLING OFF: Tech isn't on the leaderboard today — that's the pullback you're seeing in NVDA. Money is taking profits in the winners and parking it in rate-sensitive sectors (Real Estate, Utilities) which suggests the market is sniffing out Fed rate cuts.

ROTATION WATCH: This looks like a textbook "risk-off within risk-on" rotation — defensives leading, high-beta tech resting. Not a bearish signal for NVDA, more of a breather.

RELATED PLAY: Utilities serving data center hubs (think VST, CEG, NRG) are the "second derivative" of the AI trade — if NVDA is the pickaxe, these are the electricity to swing it.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra Corp): Powering the AI data center buildout — benefits whether NVDA, AMD, or custom chips win.
- AVGO (Broadcom): The custom silicon play — winning hyperscaler ASIC business that could eventually eat NVDA's lunch.

NVDA CONTEXT: NVDA is lagging the broader market today but still sitting near 52-week highs — this is a healthy consolidation, not a breakdown. If NVDA can hold the \$225 level, the uptrend is intact. Below \$215 and you have to start asking harder questions.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — High conviction on the long-term AI thesis, moderate conviction on near-term entry given stretched valuation and bearish options flow.

POSITION SIZE: 4-6% of portfolio — big enough to matter if it rips, small enough that a 20% drawdown doesn't ruin your year. Don't go overweight at all-time highs.

ENTRY POINTS: I'd add in \$215-220 range on any macro-driven pullback. Chasing at \$240+ is where you get hurt.

TIME HORIZON: 12-24 months — the Blackwell/Rubin product cycle plus federal AI spending ramp is a multi-year story.

WHEN TO BAIL: If data center revenue growth drops below 20% YoY (currently ~55%), or if a major hyperscaler publicly announces a capex slowdown, I'm trimming hard.

HEDGING: Simplest hedge — buy a put option 10-15% below current price expiring in 3-6 months. Think of it as insurance: costs you a bit, but caps your downside if China news or an earnings miss blows up the trade.